

|                                                |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
|------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Subject Code</b>                            | <b>AF5302</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |
| <b>Subject Title</b>                           | <b>Finance for Multinational Corporations</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |
| <b>Credit Value</b>                            | 3                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |
| <b>Level</b>                                   | 5                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |
| <b>Normal Duration</b>                         | One Semester                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |
| <b>Pre-requisite / Co-requisite/ Exclusion</b> | Pre-requisite: Managerial Finance (AF5326)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |
| <b>Objectives</b>                              | The subject builds on the basic principles of finance and put them under an international context. The focus lies on the financial decision making of a multinational corporation and the special problem it will face. It contributes to the achievement of PgDPA / MPA Programme Outcomes by enabling students to <u>possess in-depth knowledge in financial management for decision making</u> in an international context, <u>apply the knowledge of theory into practice</u> by formulating management policy and strategies in multinational corporations and demonstrate the <u>ability to make professional decision in financial management</u> (Programme Outcome 5).                                                                           |
| <b>Intended Learning Outcomes</b>              | <p>Upon completion of the subject, students will be able to:</p> <ul style="list-style-type: none"> <li>(a) <u>explain the characteristics of multinational companies and the respective techniques</u> used for risk hedging and international arbitrage ;</li> <li>(b) <u>apply appropriate techniques and tools</u> for hedging currency risks and interest rates risks;</li> <li>(c) <u>evaluate the various financing alternatives available</u> in international financial markets for both financing and hedging purposes;</li> <li>(d) <u>identify and analyze factors</u> relating to foreign direct investment decisions; and</li> <li>(e) <u>advise managers</u> on how to deal with business transactions in a global perspective.</li> </ul> |
| <b>Subject Synopsis/ Indicative Syllabus</b>   | <p><b>Introduction</b><br/> Characteristics of multinational corporations. Features of multinational financial management.</p> <p><b>Foreign Exchange market and Exchange Rate Determination</b><br/> Spot and forward markets. Exchange rate determination. International monetary system and the currency board system in Hong Kong. Uncovered and covered interest rate parity (UIP and CIP) and CIP arbitrage.</p>                                                                                                                                                                                                                                                                                                                                    |



|                                      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |          |
|--------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------|
|                                      | <p>Group project – Cover all topics. Especially helping students to develop an understanding of global perspective of international business.</p> <p>Final examination – 3 hours open book examination* with questions covering all the intended learning outcomes.</p> <p><b><i>Note: In addition, the specific requirements on individual assessment components discussed above could be adjusted based on the pedagogical needs of subject lecturer(s).</i></b></p> <p><b><i>*Students are allowed bring and refer to notes written on two pieces of A4- sized paper (4 pages in total).</i></b></p> |          |
| <b>Student Study Effort Expected</b> | Class contact:                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |          |
|                                      | <ul style="list-style-type: none"> <li>13 weeks of three-hour seminar</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | 39 Hrs.  |
|                                      | Other student study effort:                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |          |
|                                      | <ul style="list-style-type: none"> <li>Class preparations, reading subject materials/textbook, assignments and group discussions</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                             | 78 Hrs.  |
|                                      | Total student study effort                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | 117 Hrs. |
| <b>Reading List and References</b>   | <p>Bekaert, G. and R.J. Hodrick, International Financial Management, latest edition, Cambridge University Press.</p> <p>Eiteman, D.K. A.I. Stonehill and M.H. Moffet, <i>Multinational Business Finance</i>, latest edition, Addison Wesley.</p>                                                                                                                                                                                                                                                                                                                                                        |          |